return differences among stocks. If sentiment appears to work in stock selection, one might reasonably suppose that sentiment plays a role in market timing. One idea might be that high investor sentiment represents euphoria, which predicts low future returns, and low investor sentiment represents excess pessimism, which predicts high future returns. These ideas have been explored in the academic literature and we highlight a few papers below.

Investor Sentiment Indicators

- Baker, Wurgler, and Yuan (2010): "*We construct investor sentiment indices for six major stock markets and decompose them into one global and six local indices…Global sentiment is a contrarian predictor of country-level returns. Both global and local sentiment are contrarian predictors of the time series of cross-sectional returns within markets: When sentiment is high, future returns are low on relatively difficult to arbitrage and difficult to value stocks*."[22]
- Zouaoui, Nouyrigat, and Beer (2011): "*We test the impact of investor sentiment on a panel of international stock markets. Specifically, we examine the influence of investor sentiment on the probability of stock market crises. We find that investor sentiment increases the probability of occurrence of stock market crises within a one-year horizon. The impact of investor sentiment on stock markets is more pronounced in countries that are culturally more prone to herd-like behavior, overreaction and low institutional involvement*."[23]
- Huang, Tu, Jiang, and Zhou (2014): "*We propose a new investor sentiment index that is aligned with the purpose of predicting the aggregate stock market. By eliminating a common noise component in sentiment proxies, the new index has much greater predictive power than existing sentiment indices both in- and out-of-sample, and the predictability becomes both statistically and economically significant*."[24]